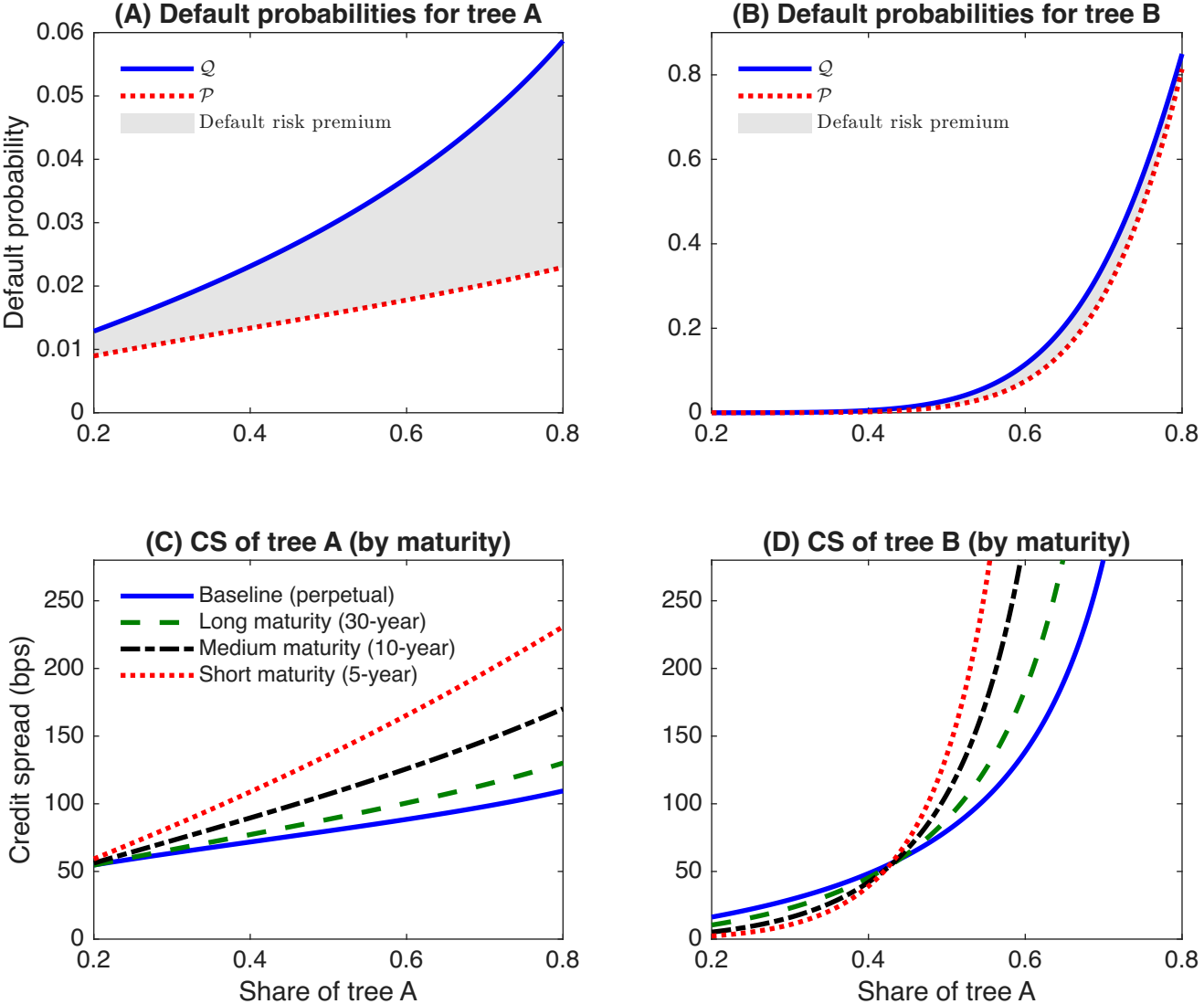

(A) Default probabilities for tree A
Default probability
0.06
0.05
0.04
0.03
0.02
0.01
0
0.2
0.4
0.6
0.8
$\mathcal{Q}$
$\mathcal{P}$
Default risk premium
(B) Default probabilities for tree B
0.8
0.6
0.4
0.2
0
0.2
0.4
0.6
0.8
$\mathcal{Q}$
$\mathcal{P}$
Default risk premium
(C) CS of tree A (by maturity)
Credit spread (bps)
250
200
150
100
50
0
0.2
0.4
0.6
0.8
Share of tree A
Baseline (perpetual)
Long maturity (30-year)
Medium maturity (10-year)
Short maturity (5-year)
(D) CS of tree B (by maturity)
250
200
150
100
50
0
0.2
0.4
0.6
0.8
Share of tree A